

First-time buyers in the private sector can open a Help to Buy ISA account to build up a deposit. For every £1 saved into the account, the government will boost it by 25 per cent, up to a maximum of £3,000. In England, the government's Starter Homes initiative aims to help first-time buyers under 40 years of age to purchase a new home, offering a minimum discount of 20 per cent off the market price. Under the scheme, the maximum cost of a new home outside London will be £250,000, with an upper limit of £450,000 inside London.

Credit card regulations

The UK has the most developed credit card market in Europe, with more credit cards in use and more transactions per person than anywhere else in the European region. There are more than 60 million credit cards in circulation in the UK, tied to 51 million accounts. Around 42 per cent of credit card accounts have balances that are accruing zero per cent interest, since the balances are paid off every month. Interest on accounts that are not paid in full is calculated in one of two ways: "average daily balance" or "daily balance". Both methods arrive at the same result by calculating interest owing on a daily basis, based on the day to day balance showing on the credit card.

Credit card companies usually charge interest on credit cards as soon as a purchase is made. However, as long as the balance is paid in full each month, most cards offer an interest-free period – the time between the purchase date and statement date, and/or the time between the statement date and payment due date.

The Consumer Credit Act 1974 governs credit cards in the UK. This legislation offers several safeguards for consumers, including a five-day cooling off period. Section 75 of the Act gives consumers protection for card purchases between £100 and £30,000 in the case of a breach of contract or misrepresentation by the seller. If the consumer cannot get a refund from the retailer, then the law holds the credit card company liable and they must then issue the refund.

STAMP DUTY

Regional stamp duty charges

Stamp Duty Land Tax (SDLT) is payable on purchases of land or property in England, Wales, and Northern Ireland. The tax applies to purchases above £125,000 for residential property and land, and £150,000 for non-residential land and property. Different rates apply to second property purchases or buy-to-let.

Tax on residential property purchases in England, Wales, and Northern Ireland

Property or lease premium or transfer value	SDLT rate
Up to £125,000	0%
The next £125,000 (from £125,001 to £250,000)	2%
The next £675,000 (from £250,001 to £925,000)	5%
The next £575,000 (from £925,001 to £1.5 million)	10%
The remaining amount (portion above £1.5 million)	12%

In Scotland, the equivalent of SDLT is Land and Buildings Transaction Tax (LBTT), which came into effect from 1 April 2015. The rate percentages are the same as for the rest of the UK, but the band thresholds are different.

Tax on residential property purchases, Scotland

Purchase price	LBTT rate
Up to £145,000	0%
Above £145,000 to £250,000	2%
Above £250,000 to £325,000	5%
Above £325,000 to £750,000	10%
Over £750,000	12%